

UNITED STATES COPYRIGHT OFFICE

Section 1201 Study: Notice and  
Request for Public Comment

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Comments of:  
\* Alliance of Automobile Manufacturers

Docket No.: COLC-2015-0012

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Submitted on behalf of  
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The Alliance of Automobile Manufacturers (Auto Alliance) welcomes this opportunity to provide input to the Copyright Office (Office) study on the operation of section 1201 of Title 17. See Section 1201 Study: Notice and Request for Public Comment, 80 Fed. Reg. 81,369 (Dec. 29, 2015) (“Study Notice”). Our comment takes the form of responses to the questions posed in the Study Notice, which appear in *italics* below.<sup>1</sup>

The Auto Alliance is the leading advocacy group for the auto industry. Its members represent 77% of all car and light truck sales in the United States, including the BMW Group, FCA US LLC, Ford Motor Company, General Motors Company, Jaguar Land Rover, Mazda, Mercedes-Benz USA, Mitsubishi Motors, Porsche, Toyota, Volkswagen Group of America and Volvo Cars North America. For further details, see <http://www.autoalliance.org/>.

The Auto Alliance participated actively in the Sixth Triennial rulemaking cycle under 17 U.S.C. section 1201(a)(1)(C), with regard to the proposed exemptions applicable to the auto industry. As Auto Alliance did not participate in previous rulemaking cycles, our comments are focused on our experience in the most recent cycle.

***General***

*1. Please provide any insights or observations regarding the role and effectiveness of the prohibition on circumvention of technological measures in section 1201(a).*

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<sup>1</sup> See 80 Fed. Reg. at 81,373.

Section 1201 (a) of Title 17 plays a key role in safeguarding the integrity of the complex software-driven systems on which modern motor vehicles increasingly rely. The statute is of great importance to the U.S. auto industry because it provides a clear legal prohibition against the circumvention of the access controls that protect these systems. Further, as the role of software in motor vehicle design and operation continues to grow, the importance of Section 1201 is almost sure to increase.

The role of computer programs in the operation of today's motor vehicles is already pervasive, and is growing rapidly. This software is critical to safe and efficient performance of virtually every aspect of motor vehicle use, from basic functions of propulsion, braking and steering, to complex systems for driver assistance, crash avoidance, entertainment and emergency communications, telematics, and forthcoming autonomous driving capabilities. These operations are controlled by millions of lines of software code, developed by thousands of programmers employed by auto manufacturers, or licensed by them from third party sources. The prevalence of innovative computer programs in today's cars helps explain why a recent study found that almost half of the world's top 20 "Most Innovative Companies" are automakers,<sup>2</sup> and why, for many Americans, the most sophisticated technological device they own is their car.

This software is also critical to meeting the extensive regulatory standards which automakers must satisfy in order to protect the safety of drivers and passengers, conserve energy resources, protect the environment, reduce greenhouse gas emissions, and meet other national goals. As with any other commercially significant computer program, the protection of copyright law is essential for encouraging further investment in the creation and proliferation of increasingly innovative, flexible and powerful software for motor vehicle operations.

Automakers employ technological controls on access to many of these computer programs in order to protect their integrity and ensure their efficient operation. Preventing tampering with these systems is essential to achieving customer satisfaction and regulatory compliance goals, and was in fact mandated by applicable law and regulations in some instances.<sup>3</sup> Authorized access to this software is essential for purposes such as diagnosis and repair of motor vehicle systems, and, increasingly, for the delivery of tested and approved after-sale updates and improvements that enhance the performance of these systems and make them more reliable.<sup>4</sup> But unauthorized access to the software poses potential threats to efficient and predictable operations of these systems. Thus, it risks frustrating the achievement of fundamental regulatory goals and, in some cases, even threatens the safety and security of drivers, passengers, and pedestrians.

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<sup>2</sup> The Most Innovative Companies 2013, bcg.perspectives, [https://www.bcgperspectives.com/content/articles/innovation\\_growth\\_most\\_innovative\\_companies\\_2013\\_lessons\\_from\\_leaders/?chapter=2](https://www.bcgperspectives.com/content/articles/innovation_growth_most_innovative_companies_2013_lessons_from_leaders/?chapter=2).

<sup>3</sup> See Exemptions to the Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies; Public Hearings Transcripts (May 19, 2015) ("2015 Hearings"), at 57-58, 208-209 (California Air Resources Board mandate for encryption eventually dropped after manufacturers committed to use of TPMs for anti-tampering purposes).

<sup>4</sup> See Jonathan M. Gitlin, *Finally, Over-the-air Software Updates For Your Car Are Becoming a Reality*, ARS TECHNICA, January, 11, 2016, <http://arstechnica.com/cars/2016/01/finally-over-the-air-software-updates-for-your-car-are-becoming-a-reality/>.

*2. How should section 1201 accommodate interests that are outside of core copyright concerns, for example, in cases where circumvention of access controls protecting computer programs implicates issues of product interoperability or public safety?*

We appreciate the frustration frequently expressed by the Office that the rulemaking proceeding increasingly obligates it to address unaccustomed topics that it believes “have little to do with the consumption of creative content or the core concerns of copyright.” Study Notice at 12. However, the formulation of this question in the Study Notice requires some unpacking, because the way it is presented may obscure the issues involved, and could lead the Office to overlook some possible solutions.

First, the record should be clear that it is not copyright owners, who are employing technological protection measures to control access to their works, who are bringing these “non-core-copyright concerns” into the rulemaking proceeding and requiring the Office to address them. To the contrary, in every case, the parties injecting these issues into the proceeding are interest groups whose main concerns are far removed from copyright, but who assert a need to circumvent the access controls in order to engage in activities unrelated to the “consumption of creative content.” This was certainly the case with respect to the some of the individuals and organizations most vocally advocating for the exemptions relating to automobiles in the most recent rulemaking cycle.

Second, the crux of the issue is less whether the interests involved in defending access controls are “outside of core copyright concerns” (itself a label whose boundaries would be difficult to define), and more whether the behavior sought to be shielded from section 1201 liability directly undermines other, non-copyright regulatory regimes that have been adopted to further broad national goals. The auto-related exemptions sought in the most recent rulemaking cycle are an excellent example, since the main issues in contention concerned the impact of granting the requested exemptions on long-standing regulatory regimes aimed at conserving fossil fuels, providing Americans with clean air to breathe, and making cars safer for drivers, passengers, pedestrians, and the society as a whole. Quite understandably, being required to make recommendations that could have significant impacts in these areas far outside its expertise was a source of frustration to the Office throughout last year’s proceeding.<sup>5</sup>

These observations suggest two steps that the Office might take to ameliorate these problems in future rulemaking cycles. First, it could seek to apply more consistently and rigorously the burdens of persuasion that the statute and legislative history impose upon proponents of exemptions, and that the Office has repeatedly recited among the proceeding’s ground rules. Second, the Office could seek to identify early in the triennial process those proposed exemptions that implicate other non-copyright regulatory regimes, and bring the needed expertise to bear on them by giving proponents strong incentives to bring those regulators

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<sup>5</sup> See, e.g., 2015 Hearings at 51-52 (Remarks of Ms. Charlesworth with respect to proposed exemption 22 (security research on automobiles): “[T]he concern is someone finds a vulnerability and publishes it before there is any opportunity to fix it and then bad actors learn of this, someone who may not have known of it before, and then start doing bad things to cars. **I mean that is – how do you address – we’re merely the Copyright Office. If someone had told me even three years ago that I would be having this discussion with you today, I would say you are crazy, but here we are thanks to 1201.** But the thing is, how do you deal with that? How do you deal with that concern, which is a legitimate concern.” (emphasis added)).

into the process of evaluating those proposed exemptions even before they are presented to the Office for consideration.

A. Consistent application of burdens of persuasion: At the outset of each triennial rulemaking cycle, and again in its recommendations at the conclusion of each cycle, the Office has consistently spelled out that the burden is on proponents of exemptions to demonstrate that it is the legal prohibition on circumvention of access controls that is inflicting “distinct, verifiable and measurable impacts” on their ability to make non-infringing uses of the copyrighted works to which the access controls apply.<sup>6</sup> Unfortunately, in practice, the Office has not always rigorously applied this test, including in the case of the types of proposed exemptions that most strongly implicate what it calls “non-core copyright concerns.”

For instance, Auto Alliance respectfully submits that in the recently concluded rule-making cycle, proponents of an exemption to allow circumvention for the purpose of security research involving automobiles presented virtually no concrete evidence that section 1201(a)(1)(A) was causing any “substantial diminution” of the availability of ECU software to researchers.<sup>7</sup> This contrasted markedly with the record on security-related proposed exemptions in previous cycles, in which threats of litigation or retaliation were allegedly widespread.<sup>8</sup> In the end, the sole evidence which the Register cited of any asserted “chilling effect” on independent research in the automotive sector was a single statement by a researcher of subjective and unspecified “fears of the DMCA” which discouraged him from undertaking research, but which were overcome – and the research actually undertaken – after he received a government grant to do so.<sup>9</sup>

Certainly when proponents of an exemption present credible evidence that the section 1201(a)(1)(A) prohibition is causing “distinct, verifiable and measurable” adverse impacts on activity with respect to copyrighted works that the record shows “is or is likely to be” non-infringing<sup>10</sup>, then the Office is obligated to delve into the merits of the proposed exemption. Where the record shows that copyright owners are using section 1201 aggressively to suppress such activity, those burdens might be met. But surely when there is no evidence of this, and when proponents are not held strictly to their burdens, the frustrations and inconveniences that the Office experiences in grappling with technical issues beyond its expertise are, to that extent at least, self-inflicted wounds.

B. Early identification of collateral regulatory impacts, and incentives to pre-clear. The Office should consider modifying its rulemaking procedures by asking proponents of exemptions

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<sup>6</sup> Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies; Notice of Inquiry and Request for Petitions, 79 Fed. Reg. 55,687 (Sept. 17, 2014) (“2014 NOI”); Recommendation of the Register of Copyrights, Section 1201 Rulemaking: Sixth Triennial Proceeding (Oct. 8, 2015) (“2015 Rec.”), at 12-13.

<sup>7</sup> See Auto Alliance Class 22 Opposition Comment at 9-12 (refuting allegations of adverse impact made in first two rounds of comments by proponents) (March 27, 2015); 2015 Hearings at 36:20 – 39:2 (refuting allegations made in reply comments by proponents).

<sup>8</sup> See, e.g., Recommendation of the Register of Copyrights in RM 2008-8; rulemaking on Exemptions from Prohibition on Circumvention of Copyright Protection Systems of Access Control Technologies (“2010 Rec.”), at 195, 201 (referencing threats of lawsuits and a “regime of panic, protests and litigation”).

<sup>9</sup> 2015 Rec. at 306, n. 2100, citing 2015 Hearings at 45:08-13.

<sup>10</sup> The non-infringing character of the activity is also an issue on which the proponent bears the burden of proof. 2014 NOI, 79 Fed. Reg. at 55690; 2015 Rec. at 13.

to identify potential collateral regulatory impacts of their proposals (or to demonstrate that such impacts would be minimal), including specification of the main federal or state regulatory agencies potentially impacted. When such impacts are identified, whether (optimally) by proponents in their initial submissions, or by opponents in their responses, the Office should be in a position to trigger a formal process of seeking input from applicable regulatory agencies. These agencies should not only be asked their views on how granting the proposed exemption would impact their regulatory efforts, but also to provide suggestions on how any such exemption might be crafted or modified to minimize adverse impacts.

An example may show how such a modification to the rulemaking procedure could lead to a smoother process and a better-informed outcome. In the recently concluded rulemaking cycle, a number of proponents sought, in the initial round of submissions in early November 2014, proposed exemptions to allow circumvention of access controls on vehicle ECUs to diagnose, repair or modify automobiles.<sup>11</sup> However, the issue of the potential impact of such exemptions on the regulatory regimes administered by the Environmental Protection Agency, the National Highway Traffic Safety Administration, and other agencies did not enter the record until the third submission round, in comments filed in March 2015 in opposition to these proposals.<sup>12</sup> It was not until almost two months later, in May 2015, that the Office reached out to these agencies, and their input was not received until July (and in one case, until September) 2015.<sup>13</sup> Under this timetable there was no opportunity for any input to the Office from either proponents or opponents on the positions taken by the agencies, nor (as far as the record shows) for any dialogue between these agencies and the Office, before the Register's Recommendations were completed. Surely this process was far from optimal.

Without making any criticism of how the Office handled this issue on an ad hoc basis during the past rulemaking cycle, it would certainly be better to plan for it for next time. If proponents had been asked to identify potential collateral regulatory impacts in their initial petitions, then the views of the relevant agencies could have been sought, and likely obtained, early enough in the process to have made a more meaningful contribution to the outcome.<sup>14</sup> Even if, as in the past cycle, the issues were not brought into the record until the opponents had a chance to make submissions, a better-planned process for seeking agency input likely would have produced statements on the record which could then have been examined in public hearings. The final decision could then have reflected the perspective of the regulatory agencies,

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<sup>11</sup> University of Southern California ("USC"), Intellectual Property and Technology Law Clinic Initial Submission (Vehicle Software – Modification) (Nov. 3, 2014); USC, Intellectual Property and Technology Law Clinic Initial Submission (Vehicle Software – Repair) (Nov. 3, 2014); EFF Initial Submission (Vehicle Software – Security Research) (Nov. 3, 2014); EFF Initial Submission (Vehicle Software – Modification and Repair) (Nov. 3, 2014).

<sup>12</sup> Auto Alliance Class 21 Opposition Comment at 16, 19 (March 27, 2015); Association of Equipment Manufacturers Class 21 Opposition Comment at 1 (March 27, 2015); Association of Global Automakers Class 21 Opposition Comment at 2, 7 (March 27, 2015); General Motors Class 21 Opposition Comment at 6, 8, 23 (March 27, 2015).

<sup>13</sup> Letter from Geoff Cooper, Assistant General Counsel, Environmental Protection Agency to Jacqueline Charlesworth, General Counsel and Associate Register of Copyrights, Copyright Office, (July 17, 2015); Letter from Mary D. Nichols, Chairman, California Air Resources Board to Jacqueline Charlesworth, General Counsel and Associate Register of Copyrights, Copyright Office, (July 21, 2015); Letter from Kathryn B. Thomson, General Counsel, Department of Transportation to Jacqueline Charlesworth, General Counsel and Associate Register of Copyrights, Copyright Office, (Sept. 9, 2015).

<sup>14</sup> Surely proponents must have been aware that many of the vehicle modifications they sought to facilitate through their proposed exemptions would have an impact on vehicle compliance with emissions, safety, and fuel economy standards. But under the prevailing ground rules they were under no obligation to flag these issues for the Office.

which clearly was not the case this time, except through the use of the blunt instrument of delaying the effective date of the exemption to allow for agency reaction.<sup>15</sup>

Indeed, the rulemaking process could be modified to give proponents strong incentives to approach the relevant regulatory agencies first, before they seek any DMCA exemption, to try to fashion an outcome that minimized adverse impacts on national regulatory objectives. The best case scenario from the Office’s perspective could be a prior determination by the regulatory agency of the scope of a possible exemption that would not undermine (or conceivably could even advance) those objectives. A resulting proposed exemption that had been “pre-cleared” of collateral regulatory impacts could be given some level of preference in the rulemaking process. At least, when presented with such a record, the Office could better justify minimizing such collateral regulatory impacts from its analysis under the fifth “catch-all” statutory factor.<sup>16</sup>

### ***Rulemaking Process***

*3. Should section 1201 be adjusted to provide for presumptive renewal of previously granted exemptions—for example, when there is no meaningful opposition to renewal—or otherwise be modified to streamline the process of continuing an existing exemption? If so, how?*

Since the inception of the rulemaking process, the concept that the case for exemptions must be demonstrated de novo in each cycle has been a core feature.<sup>17</sup> Not only would the Office lack authority to undermine this feature by recognizing presumptive renewal of previously-granted exemptions; such a change would be inconsistent with the fundamental character of the proceeding as a fact-based inquiry that depends on specific evidence of the concrete, real-world impact of the anti-circumvention prohibition on actual non-infringing uses of works.<sup>18</sup> Most of the markets relevant to proposed exemptions are dynamic and fast-changing (most assuredly this is the case for the automotive marketplace). Issues such as whether technological changes or market developments have created new alternatives to circumvention that did not exist three years previously, or have made circumvention less (or more) necessary to carry out specified non-infringing uses, inevitably require determinations on the proposed renewal of existing exemptions to be made de novo. Thus, on policy grounds reflecting the nature of the rulemaking inquiry itself, as well as in order to remain faithful to Congress’s instructions concerning the process, proponents should not be relieved of the obligation to prove their cases anew in each cycle.

At the same time, Auto Alliance would not oppose reasonable procedural changes that could expedite consideration of uncontested requests for the “renewal” of specific exemptions. These could include allowing proponents to ask the Office to take administrative notice of relevant portions of the record compiled in the preceding cycle, so long as opponents have a

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<sup>15</sup> 37 CFR 201.40 (b)(6) and (b)(7)(i), as revised in Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies; Final Rule, 80 Fed. Reg. 65,944, 65,954 (Oct. 28, 2015) (“2015 Final Rule”).

<sup>16</sup> 17 U.S.C. § 1201 (a)(1)(C)(v). Of course proponents would still have to meet the burdens allocated to them, such as to show that the activity in which they wish to engage is non-infringing. See fn. 10, supra.

<sup>17</sup> See 2014 NOI at 55,689-90 (citing legislative history).

<sup>18</sup> See Recommendation of the Register of Copyrights, Section 1201: Fifth Triennial Proceeding (Oct. 12, 2012) (“2012 Recommendation”), at 44 (proponents must “address the real-world impact of their proposed exemption”).

reasonable opportunity to object. The process could also be streamlined in those instances in which a fully documented proposal for verbatim renewal of a previously granted exemption is received, and no objection to it is brought forward in the opposition round of comments. However, any “fast-track” procedures should not apply whenever material changes to an existing exemption are proposed; and any presumptions adopted by the Office in this area should be fully rebuttable.

*4. Please assess the current legal requirements that proponents of an exemption must satisfy to demonstrate entitlement to an exemption. Should they be altered? If so, how? In responding, please comment on the relationship to traditional principles of administrative law.*

These requirements seem basically sound in principle. However, they could be refined, and their execution could be improved, as we note in response to questions 2 (with regard to identification and pre-clearance of collateral regulatory impacts) and 8 (with regard to relationship with existing statutory exemptions).

*5. Please provide additional suggestions to improve the rulemaking process.*

(A) As mentioned in the Study Notice at 10-11, significant adjustments to the rulemaking procedure were introduced in the most recent cycle. One result was that proponents of exemptions were given three opportunities to advocate for their positions, while opponents were strictly limited to one round of comments. The Office should consider rebalancing this ratio in future rulemaking cycles, in order to develop a more complete and balanced record for its recommendations.

(B) In another feature of the adjusted rulemaking procedures in the most recent cycle, the Office edited and consolidated the exemptions that were proposed in the initial round, thus providing a clearer and more specific set of proposals for debate in the ensuing rounds. This brought greater focus to the proceeding. However, between the unveiling of the proposed exemptions in the December 2014 Notice of Proposed Rulemaking, and the publication 10 1/2 months later of the Register’s Recommendations and Final Rule, no further refinements of the proposals were presented for comment and discussion. As a result, it was not until the Final Rule was published and the entire proceeding concluded that rulemaking participants became aware of unexplained discrepancies between the phrasing of the exemptions as recommended by the Register and the final exemptions promulgated by the Librarian.

For example, the Register recommended that the security research exemption “should require explicitly that the covered security research be lawful.”<sup>19</sup> However, as promulgated, the exemption itself seems to require only that the circumvention made to carry out the research — not the research project itself — “not violate any applicable law.”<sup>20</sup> Since the Register recommended that the exemption be “consistent with the congressionally enacted exemption in [17 U.S.C.] section 1201(j),”<sup>21</sup> it is worth noting that in order to qualify for the statutory exemption, the “act of security testing,” not just the act of circumvention, must “not constitute infringement under this title or a violation of applicable law other than this section.” 17 USC §

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<sup>19</sup> 2015 Rec. at 318.

<sup>20</sup> 37 CFR 201.40(b)(7)(i), as revised in 2015 Final Rule at 65, 956.

<sup>21</sup> 2015 Rec. at 318.

1201(j)(2). The Register further recommended that, “in the interest of adhering to Congress’ basic purpose in section 1201(j),” the exemption recognized should track the legislative language as much as possible.<sup>22</sup> However, the exemption promulgated by the Librarian deviates without explanation from the statutory phrasing. For instance, it only requires that the information derived from the security testing “not [be] used or maintained in a manner that facilitates copyright infringement,”<sup>23</sup> while a statutory factor for consideration is whether such information is used or maintained in a manner that facilitates copyright infringement “or a violation of applicable law other than this section, including a violation of privacy or breach of security.” 17 U.S.C. § 1201(j)(3)(B) (emphasis added). Thus the promulgated exception, without explanation, was broadened beyond the scope of the Register’s Recommendation, and beyond the statutory framework that the Office recommended be followed.

The current rulemaking procedure provides no clear avenue for bringing to the attention of either the Office or the Librarian the existence of such unexplained discrepancies, which may well have been inadvertent.<sup>24</sup> We urge the Office to consider ways to modify the process to reduce the risk of such discrepancies, or else to allow them to be promptly identified and resolved. For instance, if the exemptions which the Librarian proposes to promulgate were published (or made available to the parties), along with the Register’s Recommendations, a short time prior to the statutory deadline when the exemptions would come into force, the parties could be invited to identify any discrepancies or similar uncertainties so that the Librarian could, if s/he chose, rectify them before the Final Rule was promulgated.

(C) The Register is apparently fully committed to the proposition that the definition of a “particular class of works” for which access controls may be circumvented pursuant to an administrative exemption may be “refined not only by reference to the medium on which the works are distributed, or the particular access controls at issue, but also by reference to the particular type of use and/or user to which the exemption will apply.”<sup>25</sup> This being so, we urge her to do more to craft the “scope or boundaries of a ‘particular class’” to “limit the adverse consequences of an exemption.”<sup>26</sup> For example, in the most recent rulemaking cycle, the issue arose whether a nationwide MOU entered into by virtually the entire U.S. automobile industry on access to information and tools needed to diagnose and repair cars provided an alternative to circumvention of access controls on motor vehicle software in order to carry out diagnosis and repair activities. The Register concluded that it did not, principally because “the MOU does not apply to a significant portion of the vehicles that should be covered by the proposed exemption, including pre-2002 and models and mechanized agricultural vehicles.”<sup>27</sup> It does not appear that

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<sup>22</sup> *Id.* at 319.

<sup>23</sup> 37 CFR 201.40(b)(7)(ii), as revised in 2015 Final Rule at 65,956.

<sup>24</sup> We recognize that the example we have provided concerns an exemption which, by its terms, does not come into force until twelve months after its promulgation, so in this case there is time to rectify the discrepancy before the exemption becomes binding. However, it is not clear what path the Librarian might follow in order to do so; and in any event, the same problem could well arise in the future with regard to other exemptions that are intended to take effect immediately.

<sup>25</sup> 2015 Rec. at 18.

<sup>26</sup> *Id.*, quoting Recommendation of the Register of Copyrights in RM 2005-11; Rulemaking on Exemptions from Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies (Nov. 17, 2006) (“2006 Rec.”), at 10 and Staff of the House Committee on the Judiciary, 105th Cong., Section-By-Section Analysis of H.R. 2281 as Passed by the United States House of Representatives on August 4, 1998 (Comm. Print 1998), reprinted in 46 J. COPYRIGHT SOC’Y U.S.A. 635 (1999) (“Manager’s Rep.”).

<sup>27</sup> 2015 Rec. at 240.



the Register considered “refining” the proposed class of works to exclude vehicles covered by the MOU from its “scope and boundaries,” thereby “limiting the adverse consequences” of an overbroad exemption that covers many situations in which circumvention is not required. We urge the Office to make greater efforts in future rulemaking cycles to tailor the scope of its recommended exemptions to fit the record more closely.<sup>28</sup>

### ***Anti-Trafficking Prohibitions***

*6. Please assess the role of the anti-trafficking provisions of sections 1201(a)(2) and 1201(b) in deterring copyright infringement, and address whether any amendments may be advisable.*

These provisions are very important in preventing the emergence of black markets in circumvention devices and services. Even a limited authorization for purveying such products and services to those entitled to circumvent pursuant to a lawful section 1201(a)(1)(A) exemption will inevitably spill over to unauthorized users and uses. These provisions should remain in place. In any case, any changes or exceptions to them should be made by Congress, not in the rulemaking process.

*7. Should section 1201 be amended to allow the adoption of exemptions to the prohibition on circumvention that can extend to exemptions to the anti-trafficking prohibitions, and if so, in what way? For example, should the Register be able to recommend, and the Librarian able to adopt, exemptions that permit third-party assistance when justified by the record?*

No. Any such exemptions should be decided by Congress, not the Copyright Office.

### ***Permanent Exemptions***

*8. Please assess whether the existing categories of permanent exemptions are necessary, relevant, and/or sufficient. How do the permanent exemptions affect the current state of reverse engineering, encryption research, and security testing? How do the permanent exemptions affect the activities of libraries, archives, and educational institutions? How might the existing permanent exemptions be amended to better facilitate such activities?*

The impact of the existing statutory exemptions on the rulemaking process remains an area of confusion. It is unfortunate that so little case law has developed that could provide guidance to the Copyright Office in evaluating whether proposed rulemaking exemptions are necessary on topics already addressed by the statute, and on how to craft any such exemptions to conform with congressional intent in enacting the statutory exemptions where they overlap or occupy adjacent territory.

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<sup>28</sup> This recommendation is also relevant to the security research exemption recognized for automobiles, as discussed in response to question 2 above. The Office chose to aggregate this proposed exemption, for purposes of analysis, with others related to security research on medical devices and on commercially distributed software. 2015 Rec. at 253. However, this decision may have left it less prepared to appreciate that the record developed was quite different with respect to the “real-world” adverse impact of section 1201 on security research in the automotive sector, as contrasted with what may have been the case in other sectors.

The Office could provide a measure of greater clarity by clearly establishing that it is part of the burden assigned to proponents of exemptions to demonstrate that existing statutory exemptions do not cover the activities in which they wish to engage. Without such a demonstration, proponents cannot establish that these activities are impeded or constrained by the section 1201 prohibition, which of course is inapplicable in the circumstances described in the statutory exemptions. Since commonly the most that proponents can show is that the statutory exemptions might not apply, the Office needs to exercise caution to avoid shifting to opponents the burden of showing that the statutory exemptions are in fact applicable, a stance that would clearly be inconsistent with congressional intent. The Office's current practice of granting exemptions when "there is some uncertainty" about whether a statutory exemption applies, or when "the permanent exemptions embodied in [the statute] do not appear unambiguously to permit the full range of [activities] that could be encompassed by the proposed [administrative] exemption," seems to skate uncomfortably close to such a de facto shifting of the burden of persuasion.<sup>29</sup>

Of course, any amendments or additions to the statutory exemptions themselves must be left to Congress. Auto Alliance expresses no position at this time on whether any such changes should be made. We look forward to reviewing the positions of other commenters on this question.

*9. Please assess whether there are other permanent exemption categories that Congress should consider establishing—for example, to facilitate access to literary works by print-disabled persons?*

Auto Alliance expresses no views on this question at this time.

***Other***

*10. To what extent and how might any proposed amendments to section 1201 implicate the United States' trade and treaty obligations?*

Auto Alliance expresses no views on this question at this time.

*11. Please identify any pertinent issues not referenced above that the Copyright Office should consider in conducting its study.*

It would be useful to clarify the applicability (or not) of the Administrative Procedure Act to the rulemaking proceeding, as well as related issues such as the appropriate venue and timetable for seeking judicial review of a rulemaking decision, the applicable standard of review, etc. None of this is clear under the statute as it now stands. If Congress undertakes to review section 1201, these could be appropriate topics for clarifying amendments.

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Thank you for considering the views of the Auto Alliance.

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<sup>29</sup> 2015 Rec. at 308, 309 (with regard to proposed security research exemption).